Does High-Yield Credit Lead Equities? Relative Bond Performance and Next-Week Stock Returns

SIQuant Research[1]

[1]Hypothesis × Quant

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Abstract

Hypothesis: H_0: the five-day relative return of high-yield versus Treasury bonds does not predict the next five-day SPY return; H_1: the relation is positive
Data: 2,504 daily observations of HYG, IEF and SPY, 2016-10-31 to 2026-10-16
Method: OLS with Newey–West HAC errors (10 lags) and a 2,000-draw circular-shift placebo; the decision needs both one-sided $p < 0.05$
Results: $\beta = -0.0761$ (HAC $t = -0.53$, $p = 0.7030$; placebo $p = 0.6462$), $R^2 = 0.0018$.
Research decision: REJECTED

1 Design

Credit markets are often argued to price risk earlier than equities [Gilchrist and Zakrajšek, 2012]. The predictor is observed at the close of day t and the outcome covers days $t + 1$ to $t + 5$. Total-return ETFs are used because they are free and liquid; they embed duration, so the Treasury leg is a duration-adjusted benchmark rather than a pure credit spread.

2 Results

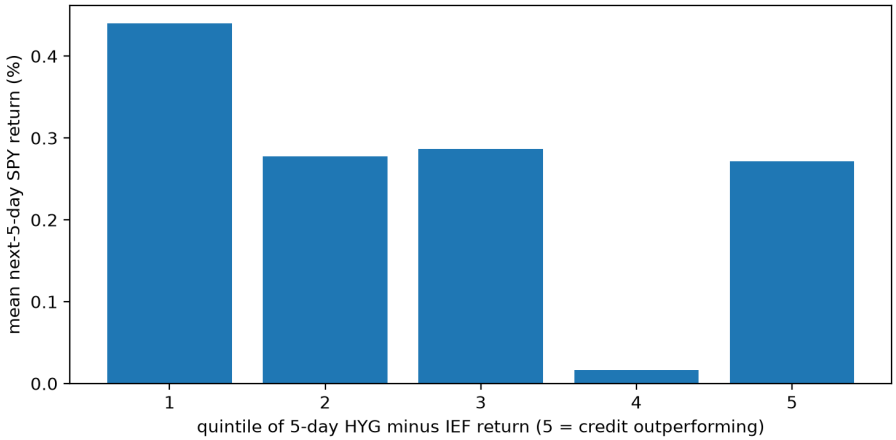


Figure 1: Mean next-week SPY return by quintile of the credit signal.

Adding SPY's own trailing five-day return as a control gives a coefficient of -0.0665 ($t = -0.39$) on the credit signal.

3 Limitations

HYG and IEF differ in duration, so the signal also reflects interest-rate moves. The overlap of five-day windows reduces the effective sample size. Daily closes of ETFs and the index are not perfectly synchronous.

References

Simon Gilchrist and Egon Zakrajšek. Credit spreads and business cycle fluctuations. *American Economic Review*, 102(4):1692–1720, 2012.